



No Tax Benefit from Freebies for Doctors

The Supreme Court has held that pharma companies cannot claim tax deductibility on expenditure made for freebies. How does this affect the companies?

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32 | **RECENT** developments on the tax front merit attention. The first is the judgement of the Supreme Court (SC) on the deductibility of expenditure incurred by pharma companies in providing freebies to medical practitioners; the other is a circular issued by the Central Board of Direct Taxes (CBDT), which interprets the Most Favoured Nation (MFN) clause found in several tax treaties.

The SC judgement was delivered in a case involving Apex Laboratories. Apex, consistent with the practice in the pharma industry, provided freebies such as hospitality, sponsorship of conferences/seminars, laptops and the like to medical practitioners, inter-alia, to “create awareness” and provide for a brand recall value of their products. The question was whether expenditure incurred by Apex on such freebies is tax deductible. Section 37 of the Income-tax Act, 1961, provides that an expenditure incurred wholly and exclusively for the purposes of business is tax

deductible provided it is not incurred for any purpose that is an ‘offence’ or ‘prohibited by law’. The Indian Medical Council (Professional Conduct, Etiquette and Ethics) Regulations, 2002 (MCI regulations) prohibits medical practitioners from accepting gifts, hospitality, etc., from a pharma company, with censures and penalties prescribed for any violation. The revenue authorities disallowed the expenditure on the basis that such freebies are violative of MCI regulations and therefore prohibited by law. But pharma firms contend that MCI regulations apply only to doctors and not to them. Action could be taken against the doctors, but if the expenditure was for the legitimate promotion of business, then it should not be disallowed. There was conflicting jurisprudence on this subject. The SC held that the expenditure incurred was indeed violative of law and was not tax deductible.

In its judgement, the SC held that pharma companies were fully aware

of the MCI regulations and knew that the doctors accepting freebies would violate the regulations. The act of giving freebies was held to be an act of commission. The SC held that doctors have a quasi-fiduciary relationship with their patients and their judgement of prescribing medicines cannot be influenced by the receipt of freebies. The cost of such freebies is built into the cost of medicines, which is ultimately borne by the patients. The moral tenets aside, the SC held that it cannot aid a party in causing an action of an illegal act. The SC also held that an act which could not have been done directly, can also not be done indirectly. Accepting an argument that the MCI regulations applied only to doctors and not to pharmaceutical companies would be an exercise in cementing the practice of medical practitioners. The judgement also legitimises the amendment proposed to the IT Act by the Finance Bill, 2022, which clarifies that such expenditures are prohibited by law.

Given that the SC decision is understood to clarify the law since inception, there are several areas that companies may want to analyse further. They may face disallowances in respect of pending proceedings. While penalty action may be defensible, there could be challenges in defending interest liability, which is consequential in nature. Companies would need to reassess their advance tax liability such that interest exposure is mi-

**THE JUDGEMENT
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